
MOMENTUM REVERSAL RISK – formation 2020-10-31 (last session 2020-10-30)
US equity cross-sectional momentum, the reconstructed 12-1 book:
top and bottom deciles of the Russell 3000, VALUE-WEIGHTED within each leg.
Horizon: 10 trading days at the 5% quantile. The probability line below is
the VaR
restated at the event threshold, not a forecast of a reversal's timing.

SEVERITY [the parameter-free scaled quantile; no conditioning state]
10-day 5% VaR -19.29% against an unconditional -7.57% (2.5x)
10-day 5% ES -31.93%
the book's trailing volatility is 60.9% annualised, and the estimator is
today's
volatility times the 5% quantile of past scaled returns. Nothing is fitted.
P(10-day return at or below the book's own unconditional -7.57%): 20.6%.
At French's long-run reference of -4.32%, which is a different and lower
bar for a
book this volatile, the same figure is 29.3%.

Three conditioning variables were tested and none is used: the bear
state, which
made the forecast worse; the calendar state; and the volatility tercile.
Their
ratios and intervals are in the register.

IS THIS LINE CALIBRATED [out of sample, on the book, formations BEFORE
this date]
scaled line 5 breaches of 54, 9.26%, Kupiec p 0.197 -> passes
unconditional 9.26%, Kupiec p 0.197 -> passes
At this date the two lines cannot be told apart: they breach on the same
formations and Kupiec says the same of both. The divergence that makes the
scaled line the better calibrated one appears later in the tier, and a
reader
standing here could not know it. The register carries the full-tier figures.

WHAT THE BOOK IS [value-weighted, as the design specifies]
long leg 263 names, but an effective 8.0 of them; the largest
is 27%
of the leg and the five largest 60%
short leg an effective 11.7 names
This is what value-weighting inside a decile produces. It is a property
of the
construction and is printed, not corrected.

WHAT THE READER'S EXISTING SCREENS SAY
Sector screen 263 names across 10 GICS sectors, Herfindahl 0.146
largest Energy at 23% -> reads DIVERSIFIED
VIX 38.0, 96.8% of its own history -> high, no direction

WHAT THE LOSER LEG IS PRICED ON [8-K filings, gated on acceptance time]

The theme below is the 8-K survival-condition reading, by the fallback rule registered before either result was seen. The theme pipeline ran on this

date

and produced no theme above the placebo. Across 8 episode dates it raised a theme on 2. The registration named an expected label in advance for 3 of those dates, and 0 matched -- but no match was reachable, because the dates where a theme rose are not among the dates that carry an expected label.

That

zero is a property of which dates were labelled, not evidence about the labels.

The reason is coverage, not the placebo: on the dates where something did rise, the excess weight rested on a handful of companies with Item 1A text out of a set of about a hundred and thirty. That is reported rather than omitted, and it is why the classifier run is listed as not built.

Stated an external survival condition: 19 of 112 filings (17.0%)

9 names carry one, and they name the same thing: the resumption of normal demand after COVID-19. The sector screen above sees ten sectors. The filings see

one bet.

Evidence, verbatim, with the date it became public:

UAL accepted 2020-09-09

"expects demand to remain suppressed and plateau at levels of around 50%, relative to 2019 levels, until a widely accepted treatment and/or vaccine ..."

CCL accepted 2020-08-07

"As a result of the COVID-19 outbreak, we have paused our guest cruise operations, and if we are unable to re-commence normal operations in the near..."

AMC accepted 2020-09-24

"We currently estimate that unless theatre attendance levels improve significantly from the third quarter of 2020 to the fourth quarter of 2020 and ..."

WHEN DID THIS LAST HAPPEN [live-only; not backtestable; run on a historical date]

Five nearest dates by the deterministic distance rule, and what followed each:

#1	2009-08-31	distance 0.039	forward 21d -4.03%	conditions: NO RECORD
#2	2009-05-31	distance 0.070	forward 21d +3.91%	conditions: NO RECORD
#3	2009-01-31	distance 0.085	forward 21d +11.24%	conditions: NO RECORD
#4	2008-10-31	distance 0.088	forward 21d +6.33%	conditions: NO RECORD
#5	2000-05-31	distance 0.110	forward 21d +16.09%	conditions: NO RECORD

Four of the five were followed by gains. Retrieval alone would reassure.

A three-role panel argued over that record. 7 claims survived the gate and 1 was dropped: a mechanism claim about a date whose condition record could not

support it. The gate keeps a mechanism claim only with a verbatim span from a

condition record for that date, and counts what it drops.

Adjudicator: the match is NOT APT and mechanism CANNOT BE RULED ON, deciding on

the field condition_record_status -- every one of the five predates the condition corpus,

so what they were priced on is unknown rather than different.

Two limits, both real. This step is LIVE-ONLY: it is the design's one agentic

component, a production system would use it, and it cannot be backtested, so its

contribution here is shown and not measured. And the distance used 3 blocks of

the v1 engine's state space, not the design's exposures, so these are the v1 engine's neighbours.

CATALYST DAYS IN THE WINDOW [fields, not a model input]

An FOMC decision day falls in the next ten sessions. Companies holding 3.2% of

gross book weight report earnings in it. These are printed so the reader can see

what is scheduled; they are NOT inputs to the severity line above, because conditioning on them did not improve it.

WHAT WOULD CHANGE THIS READING

A vaccine or treatment readout resolves the shared condition, the loser leg reprices

upward together, and the short half takes the loss. Named by the filings, not by a

model: UAL states it as the condition on 2020-09-09.

DESIGNED AND NOT BUILT [named rather than given a number]

Positioning and crowding, the vulnerable-name lists, the catalyst agent,
and the

theme pipeline's classifier run. None appears above as a figure.

WHAT HAPPENED NEXT [NOT part of the page: outside the information set of
2020-10-30]

Realised over the ten sessions 2020-11-02 to 2020-11-13: -14.58%.

That is beyond the unconditional line and inside the volatility-scaled one.

2020-11-09 alone was -20.21%: the winner leg -4.18%, the loser leg

+16.03%. The loss

is the short half, which is the mechanism this page named in advance

under WHAT

WOULD CHANGE THIS READING -- a vaccine readout resolving the shared

condition and

repricing the loser leg upward together.

French's published factor over the same window: -9.56%. This book is the
more

concentrated portfolio and falls further.

One formation is one observation. It does not make the scaled line

right; the

coverage tests over 54 prior formations do that, and they are printed above.
